₹10 lakh cr.
Investment target under the new industrial policy over five years; to support Gujarat's ambition to become a $3.5 tn (Rs 338 lakh cr.) economy by 2047

21
No. of thrust sectors of the new policy, while support for small businesses continues

₹10,000 cr.
Minimum investment required in identified thrust sectors to qualify for customised incentive packages

FOR DECADES, GUJARAT BUILT ITS REPUTATION AS INDIA'S FACTORY FLOOR. From textile mills in Surat and engineering workshops in Rajkot to ceramics in Morbi, pharmaceuticals in Ahmedabad and thousands of Micro, Small and Medium Enterprises (MSMEs), the state created jobs and built one of India's strongest manufacturing economies. Now, the Viksit Gujarat Industrial Policy 2026 signals a decisive shift—from making more products to making more sophisticated products, reflecting a transition from labour-intensive to technology-intensive manufacturing.

The policy aims to attract Rs 10 lakh crore in investments over five years and contribute to Gujarat's ambition of becoming a $3.5 trillion (Rs 338 lakh crore) economy by 2047. "With this policy, we are taking a decisive step towards building globally competitive industries, attracting next-generation investments and strengthening our integration with global value chains," said chief minister Bhupendra Patel, while releasing the new industrial policy last month.

THE BIG SHIFT

Gujarat, which accounts for 8.2 per cent of India's GDP, is among the country's wealthiest large states, with a per capita income of Rs 3.27 lakh in FY25, against a national average of Rs 2.05 lakh. Manufacturing is the single largest contributor to the state's economy, generating Rs 7.90 lakh crore, or 32.8 per cent of gross state value added, down from 36.8 per cent in FY22. Much of the decline, as per the Gujarat Socio-Economic Review 2025-26, reflects the normalisation of refining and chemical prices after the FY22 peak, alongside a prolonged slump in diamonds, textiles and chemicals since 2023. The state's Annual Survey of Industries estimates that nearly 2.6 million people are employed in the manufacturing sector. The challenge now is to ensure that employment growth is broad-based.

The new policy focuses on 21 thrust sectors, spanning advanced manufacturing, clean energy like green hydrogen, semiconductors, aerospace and traditional strengths such as textiles, pharmaceuticals, chemicals, food processing and engineering, while retaining support for small businesses. At the heart of this move is the creation of a new Ultra Mega Project category. Under this, companies investing at least Rs 10,000 crore and generating 3,000 jobs in the thrust sectors will qualify for customised incentive packages rather than fixed subsidies. The initiative gives Gujarat greater flexibility to negotiate with global manufacturers competing across countries and neighbouring states for large investments. Achal Bakeri, chairman of CII Gujarat State Council, and chairman and MD, Symphony Ltd, lauds the policy as comprehensive, laying as much emphasis on its actual implementation. "The state lacked a laid-out policy to compete and attract large investments," he says. "These investments were coming through on a case-to-case basis. Now, the policy gives coherence to the state's pitch."

That pitch, industry insiders say, is reinforced by Gujarat's reputation for efficient governance and speedy approvals. Anuj Jain, proprietor of Ahmedabad-based financial



"WITH THIS POLICY, WE ARE TAKING A DECISIVE STEP TOWARDS BUILDING GLOBALLY COMPETITIVE INDUSTRIES, ATTRACTING NEXT-GENERATION INVESTMENTS AND STRENGTHENING OUR INTEGRATION WITH GLOBAL VALUE CHAINS"

BHUPENDRA PATEL
Chief MInister, Gujarat

4. NORTH GUJARAT ECONOMIC REGION
- Science and tech park (ESDM*-linked)
- Agri-industrial corridor
- International Medicity
- AI ecosystem at GIFT City
- Heritage, Religious & Buddhist circuit
- Film and entertainment city
- Augmented Reality-enabled E-sports zone

*(*Electronic System Design & Manufacturing)*

5. CENTRAL GUJARAT ECONOMIC REGION
- Chhotaudepur as sports equipment hub
- Vadodara as bioeconomy hub

6. SURAT ECONOMIC REGION
- B2C Zone, DREAM City, Surat
- B2B Zone, High-speed Rail Zone, Surat
- EDU-City, HSR Zone, Surat